

US will retain high-end advantage amid global defense hedging

送信者: EG Aerospace & Defense 受信日時: 2026-09-03 22:36

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Hedging against the US is limited and contingent. Concerns over the reliability of US security guarantees are driving some allies and partners to diversify suppliers—creating as a “US+” procurement strategy—but diversification remains modest and concentrated in high-priority systems. The US retains a strong incumbent advantage in high-end, networked platforms—especially the F-35, Patriot, THAAD, Aegis, and intelligence, surveillance, and reconnaissance (ISR) satellites—even as longtime allies source less advanced equipment from new suppliers and expand domestic industrial capacity. The extent of that shift will depend on: (1) the political will to diversify and (2) the capacity and availability of alternatives.

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3 Sep 2026 09:31 EDT [Discover more on the Portal](#)

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Allies and partners are increasingly hedging against Washington by adopting a “US+” arms-procurement approach amid doubts about US security guarantees, though diversification remains limited to select priority systems.

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NATO allies are among the most active diversifiers but face tradeoffs between capability acquisition speed and strategic autonomy.

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The US will remain dominant in top-tier air and missile defense and other networked platforms, but Gulf states, India, and Northeast Asian allies will localize production and diversify lower-tier capabilities as alternatives mature.

Hedging against the US is limited and contingent. Concerns over the reliability of US security guarantees are driving some allies and partners to diversify suppliers—creating as a “US+” procurement strategy—but diversification remains modest and concentrated in high-priority systems. The US retains a strong incumbent advantage in high-end, networked platforms—especially the F-35, Patriot, THAAD, Aegis, and intelligence, surveillance, and reconnaissance (ISR) satellites—even as longtime allies source less advanced equipment from new suppliers and expand domestic industrial capacity. The extent of that shift will depend on: (1) the political will to diversify and (2) the capacity and availability of alternatives.

NATO defense procurement from the US will continue to decline. European allies and Canada are among the most active diversifiers, driven by concerns about US export controls, potential “kill switches,” and a push to reindustrialize (see: [Transatlantic rift will hurt US brands and operations in Europe](#) , 2 March 2026). EU tools such as the Security Action for Europe (SAFE) facility and the European Defence Industrial Programme are strengthening regional procurement through local-content requirements, alongside rising national defense budgets.

“Buy European” funding is flowing to sectors where European equipment rivals US alternatives and to less advanced but fit-for-purpose systems. If transatlantic tensions persist, more countries could follow Portugal and Spain in reducing F-35 orders. In that case, the Global Combat Air Program (GCAP) would probably become the default option for middle powers. Canada is considering its first non-US combat aircraft partnership as it moves closer to Europe; Ottawa is also joining SAFE and plans to buy European

platforms to reduce reliance on the US. Germany will likely move in the same direction (see: Franco-German divisions likely to end FCAS fighter, not full program , 19 March 2026). Ukraine is emerging as a key supplier of strike, ISR, and counter-drone technology through EU-based export hubs.

Speed will come at the cost of autonomy for advanced systems. Europe is split between the goal of strategic autonomy and speedy capability-building on high-end systems. For example, Germany supports “Buy European” policies and invests heavily in sovereign space, strike, and air-defense capabilities, but replacements for US capability will take years to develop (see: Germany’s rearmament is reshaping Europe’s fragmented defense landscape , 14 May 2026). France has pursued autonomy more aggressively, relying on Dassault, Naval Group, and MBDA even when that means higher costs or slower delivery.

Gulf states will diversify lower-tier air defense while US retains upper-tier systems. Governments are shifting orders to suppliers that were reliable during the Iran war. In March, Ukraine sent specialists to the UAE, Saudi Arabia, and Qatar to transfer drone-interception doctrine, leading to memorandums of understanding to co-produce low-cost interceptors tailored to Shahed-level threats (see: Export controls and US competition hinder Ukraine’s drone ambitions , 9 April 2026). For higher-end threats, South Korea broke with long-standing policy and shipped M-SAM II interceptors to replenish UAE and Qatari batteries during the fighting. The move spurred larger orders and led Saudi Arabia to press for faster deliveries. The UK also deployed Sky Sabre to Saudi Arabia and is supplying Skyhammer interceptor missiles. Israel deployed Iron Dome to the UAE during the war, setting the stage for deeper defense ties. Still, Gulf militaries used roughly 600–800 Patriot interceptors and recently placed over \$25 billion in US foreign military sales orders to replenish stocks.

Local offensive production is the Gulf’s other priority. The UAE and Saudi Arabia have expanded state-owned defense conglomerates to build domestic manufacturing, particularly for strike systems. Investment in low-cost, long-range strike production will likely keep rising as both countries seek independent offensive options to restore deterrence against Iran.

India will continue to expand procurement through alternative partners. India had been moving closer to the US, but persistent frictions are pushing New Delhi to look elsewhere. France stands to benefit, including a \$34 billion order for 114 Rafales this year (see: India will rely on France to power its military aviation , 20 August 2026). Cooperation with Israel is deepening, including drone co-production and possible Iron Dome collaboration. New Delhi continues to prioritize domestic weapons development and production with Western partners.

Northeast Asian allies are prioritizing domestic industry despite heavy US dependence. From 2021 to 2025, Japan, South Korea, and Taiwan sourced 95%, 93%, and 96% of foreign arms purchases, respectively, from the US. Even so, more defense spending is flowing to domestic suppliers, helped by stricter local-sourcing rules in Japan and South Korea. Japan is also building supply chains for satellites, air defense and counterstrike munitions, and unmanned platforms to deter China and reduce dependence on the US—though the use of excess capacity in peacetime remains unclear. Japan is participating in a non-US combat aircraft program for the first time through GCAP. Taiwan, facing nearly \$30 billion in delayed US deliveries, is onshoring expendable unmanned systems and long-range strike capabilities central to its “porcupine” strategy, but it will remain heavily dependent on the US, its only security guarantor. South Korea has built a broad defense sector and aims to become the world’s fourth-largest arms exporter (see: Korea will be one of world’s top arms suppliers by 2030 , 3

December 2025), but it still relies on the US for advanced aircraft and precision-guided munitions. Over time, the US lead in advanced platforms will narrow in Japan and South Korea as next-generation capabilities move from development to market.

Reed Cohen

Analyst, Geostrategy

cohen@eurasiagroup.net

Christine Hilt

Director, Geostrategy

202.540.5145

hilt@eurasiagroup.net

Graeme Thompson

Senior Analyst, Global Macro

+1 202.540.5137

thompson@eurasiagroup.net

Richard Aboulafia

Special Advisor, Aerospace & Defense

aboulafia.ne@eurasiagroup.net

EG Aerospace & Defense

aerospacedefense@eurasiagroup.net

EG Global Macro

globalmacro@eurasiagroup.net

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